

Amana Takaful PLC

Interim Report
30 September 2020

STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Group		Company	
		Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.
ASSETS					
Intangible Assets		112,250,757	114,454,505	28,579,425	29,718,037
Property, Plant and Equipment		69,609,000	86,385,886	36,622,934	48,374,578
Right of use of Lease assets	3	241,499,217	255,334,446	10,619,660	13,818,976
Deferred Tax Asset	13	6,112,891	5,984,713	-	-
Investment Property		194,000,000	194,000,000	46,500,000	46,500,000
Investment in Subsidiary		-	-	1,052,867,811	1,052,867,811
Financial Assets	4	3,148,219,671	2,831,688,054	757,299,254	839,380,544
Financial Assets - Unit Linked	5	1,894,760,455	1,716,210,033	-	-
Retakaful (Reinsurance) Receivables		305,116,797	330,635,917	195,402,975	190,265,962
Contribution (Premium) Receivable		722,658,425	589,940,459	435,675,933	395,623,737
Other Assets		266,973,725	210,590,698	108,503,288	93,063,314
Cash and Bank Balances	11	103,469,698	260,272,858	34,801,887	167,389,849
Cash and Bank Balances - Unit Linked	11	14,640,755	38,197,730	-	-
Total Assets		7,079,311,390	6,633,695,302	2,706,873,167	2,877,002,808
LIABILITIES					
Insurance Contract Liabilities - Non Life		1,273,548,518	1,070,777,688	716,332,378	704,792,638
Insurance Contract Liabilities - Family Takaful Fund		444,452,386	471,280,391	-	-
Insurance Contract Liabilities- Family Takaful Unit Linked		1,876,992,218	1,747,559,594	-	-
Employee Benefits		85,608,331	82,572,410	34,219,045	38,851,542
Subordinated Debt		212,569,358	226,250,333	251,144,862	272,402,200
Other Liabilities - Unit Linked		93,123,834	50,986,682	-	-
Other Liabilities		932,156,541	831,819,801	196,641,739	174,652,121
Lease Liability	3	105,039,840	113,097,657	11,139,189	14,053,815
Short Term Borrowings		-	157,857,492	-	157,857,492
Bank Overdrafts		-	56,123,560	-	56,123,560
Total Liabilities		5,023,491,025	4,808,325,606	1,209,477,213	1,418,733,368
SHAREHOLDERS' EQUITY					
Stated Capital	20	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves		150,100,766	141,525,164	28,487,795	30,029,658
Revenue Reserves		(507,537,016)	(637,893,262)	(391,093,180)	(431,761,555)
		1,502,565,089	1,363,633,241	1,497,395,955	1,458,269,442
Non Controlling Interest		553,255,275	461,736,457	-	-
Total Equity		2,055,820,363	1,825,369,698	1,497,395,955	1,458,269,442
Total Liabilities and Equity		7,079,311,390	6,633,695,302	2,706,873,167	2,877,002,808

We certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed

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M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board

Signed

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Director

Colombo
13 November 2020

Signed

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Shehan Feisal
Chief Executive Officer

Signed

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Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 SEPTEMBER	Notes	Group			Company		
		Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Gross Written Contribution (Premium)	6	3,286,287,692	3,441,744,651	-5%	1,388,912,415	1,414,647,228	-2%
Retakaful Contribution (Reinsurance Premium)		(992,500,220)	(914,767,486)	-8%	(376,332,907)	(373,747,057)	-1%
Net Written Contribution (Premium)		2,293,787,472	2,526,977,166	-9%	1,012,579,508	1,040,900,171	-3%
Net Change in Reserve for Un-Earned Contribution (Premium)		(33,707,790)	69,483,077	-149%	(104,968)	119,693,694	-100%
Net Earned Contribution (Premium)		2,260,079,682	2,596,460,242	-13%	1,012,474,540	1,160,593,866	-13%
Other Revenue							
Income from investments		322,827,920	281,338,148	15%	52,711,258	74,756,518	-29%
Other income		94,697,191	110,462,315	-14%	6,931,253	11,494,812	-40%
Total Revenue	7	2,677,604,793	2,988,260,705	-10%	1,072,117,051	1,246,845,196	-14%
Benefits, Losses and Expenses							
Takaful (Insurance) claims and benefits		(1,255,623,369)	(1,690,847,602)	26%	(580,151,727)	(775,108,650)	25%
Acquisition Cost (net of reinsurance commission)		(202,991,426)	(259,770,600)	22%	(71,904,805)	(77,494,101)	7%
Change in Family Takaful Contract Liability		(108,712,359)	9,186,679	-1283%	-	-	-
Other Operating and Administration Expenses		(800,092,380)	(978,237,558)	18%	(339,470,446)	(466,462,937)	27%
Depreciation		(34,346,426)	(24,250,512)	-42%	(14,228,910)	(14,550,286)	2%
Total Claims, Benefits and Expenses		(2,401,765,960)	(2,943,919,595)	18%	(1,005,755,888)	(1,333,615,974)	-25%
Profit / (Loss) from Operations		275,838,833	44,341,110	522%	66,361,162	(86,770,778)	176%
Finance cost		(32,418,406)	(28,818,948)	-12%	(27,234,650)	(30,077,849)	9%
Profit/ (Loss) Before Taxation	10	243,420,428	15,522,162	1468%	39,126,513	(116,848,627)	133%
Income Tax Expenses	12	(39,938,354)	(30,443,354)	-31%	-	-	-
Net Profit for the Period		203,482,074	(14,921,192)	1464%	39,126,513	(116,848,627)	133%
Attributable to:							
Equity holders of the parent		Rs 119,373,611	Rs (73,466,584)				
Non-Controlling Interest		84,108,462	58,545,392				
		203,482,074	(14,921,192)				
Dividend per share		Rs 0.66	Rs (0.41)	262%	Rs 0.22	Rs (0.65)	133%
Interim dividend paid per share		-	-	-	-	-	-
Final proposed dividend per share		-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Profit/(Loss) for the period	203,482,074	(14,921,192)	1464%	39,126,513	(116,848,627)	133%
Change in Fair Value of Available for Sale Financial Assets	13,540,913	-	100%	-	-	-
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	2,421,957	1,500,838	61%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	18,395,391	(1,471,556)	1350%	-	-	-
Total Comprehensive Income for the period	237,840,335	(14,891,910)	1697%	39,126,513	(116,848,627)	133%
Attributable to:						
Equity holders of the parent	138,931,850	(73,040,750)				
Non-Controlling Interest	98,908,485	58,148,840				
	237,840,335	(14,891,910)				

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Gross Written Contribution (Premium)	856,239,987	976,817,003	-12%	459,137,096	411,955,019	11%
Retakaful Contribution (Reinsurance Premium)	(189,602,952)	(250,872,048)	24%	(111,398,445)	(99,314,102)	-12%
Net Written Contribution (Premium)	666,637,035	725,944,955	-8%	347,738,651	312,640,917	11%
Net Change in Reserve for Un-Earned Contribution (Premium)	64,492,250	123,216,000	-48%	(5,401,552)	72,167,561	-107%
Net Earned Contribution (Premium)	731,129,285	849,160,955	-14%	342,337,099	384,808,478	-11%
Other Revenue						
Income from investments	148,283,694	118,875,358	25%	12,412,295	27,759,057	-55%
Other income	37,965,577	44,450,841	-15%	4,114,381	8,042,527	-49%
Total Revenue	917,378,557	1,012,487,154	-9%	358,863,774	420,610,061	-15%
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits	(508,914,292)	(629,689,607)	19%	(221,037,847)	(262,940,878)	16%
Acquisition Cost (net of reinsurance commission)	(71,040,009)	(68,317,981)	-4%	(24,333,599)	(28,004,512)	13%
Change in Family Takaful Contract Liability	(8,628,549)	17,539,271	-149%	-	-	-
Other Operating and Administration Expenses	(282,967,734)	(346,018,914)	18%	(118,799,528)	(160,056,756)	26%
Depreciation	(10,979,711)	(7,465,707)	-47%	(4,281,382)	(4,811,549)	11%
Total Claims, Benefits and Expenses	(882,530,294)	(1,033,952,939)	15%	(368,452,355)	(455,813,695)	19%
Profit / (Loss) from Operations	34,848,263	(21,465,785)	262%	(9,588,581)	(35,203,634)	73%
Finance cost	(6,743,845)	(9,022,096)	25%	(5,890,951)	(9,891,123)	40%
Profit / (Loss) Before Taxation	28,104,417	(30,487,881)	192%	(15,479,532)	(45,094,758)	66%
Income Tax Expenses	(6,014,998)	(4,792,935)	-25%	-	-	-
Net Profit / (Loss) for the Period	22,089,420	(35,280,815)	163%	(15,479,532)	(45,094,758)	66%
Attributable to:	Rs	Rs				
Equity holders of the parent	7,318,707	(43,141,403)		-	-	
Non-Controlling Interest	14,770,713	7,860,588		-	-	
	22,089,420	(35,280,815)				
Basic / Diluted Earnings / (Loss) Per Share - Weighted Average - To Equity Holders	0.60	(0.24)	352%	0.20	(0.25)	180%
Dividend per share	-	-	-	-	-	-
Interim dividend paid per share	-	-	-	-	-	-
Final proposed dividend per share	-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Other Comprehensive Income						
Profit/(Loss) for the period	22,089,420	(35,280,815)	163%	(15,479,532)	(45,094,758)	66%
Change in Fair Value of Available for Sale Financial Assets	(94,872,638)	-	-100%	-	-	-
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	2,580,553	(138,893)	1958%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	(3,868,332)	21,516,629	-118%	-	-	-
Total Comprehensive Income / (Loss) for the period	(74,070,997)	(13,903,079)	-433%	(15,479,532)	(45,094,758)	66%
Attributable to:						
Equity holders of the parent	(44,865,031)	(7,646,694)		-	-	
Non-Controlling Interest	(29,205,965)	(6,256,386)		-	-	
	(74,070,997)	(13,903,079)				

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 SEPTEMBER 2020

	Other Reserves			Revenue Reserves		Non Controlling Interest	Total Equity
	Stated Capital	Revaluation Reserve	Translation Reserve	Available For Sale Reserve	Policy Holders' Reserve	Accumulated Losses	
	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)
Balance as at 1st January 2019	1,860,001,339	33,728,956	107,226,776	1,259,430	(61,960)	(378,883,276)	1,977,117,331
Net Profit/ (Loss) for the period	-	-	-	-	-	(73,466,584)	(14,921,192)
Other Comprehensive Income							
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders	-	-	-	-	1,235,189	-	1,500,838
Foreign Currency Translation Difference	-	-	(809,356)	-	-	-	(1,471,556)
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	-	-
Total Comprehensive Income	-	-	(809,356)	-	1,235,189	(73,466,584)	(14,891,910)
Effect of acquisitions, disposals and change in percentage holdings in subsidiaries	-	-	-	-	-	-	-
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,370,919)	-	-	-	1,370,919	-
Dividend Distributed	-	-	-	-	-	(16,716,843)	(30,394,183)
Balance as at 30th September 2019	1,860,001,339	32,358,037	106,417,420	1,259,430	1,173,229	(467,695,784)	1,931,831,238
Net Profit/ (Loss) for the period	-	-	-	-	-	(263,543,405)	(262,248,928)
Net Change in Fair Value of Property, plant & equipment	-	-	-	-	-	-	-
Foreign Currency Translation Difference	-	-	2,749,707	-	-	-	4,999,467
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	1,463,159	-	1,777,836
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	73,478,940	-	-	133,598,072
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	(745,670)	(1,105,660)
Total Comprehensive Income	-	-	2,749,707	73,478,940	1,463,159	(264,289,075)	(122,979,213)
Dividend Distributed	-	-	-	-	-	16,716,843	16,517,678
Total Changes in Ownership Interests	-	-	-	-	-	16,716,843	16,517,678
Balance as at 31st December 2019	1,860,001,339	32,358,037	109,167,127	74,738,370	2,636,389	(715,268,022)	1,825,369,698
Net Profit/ (Loss) for the period	-	-	-	-	-	119,373,612	203,482,074
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	7,447,502	-	-	13,540,913
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	1,993,271	-	2,421,957
Foreign Currency Translation Difference	-	-	10,117,465	-	-	-	18,395,391
Total Comprehensive Income	-	-	10,117,465	7,447,502	1,993,271	119,373,612	237,840,413
Dividend Distributed	-	-	-	-	-	-	(7,389,745)
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,541,863)	-	-	-	1,541,863	-
Total changes in ownership interests	-	(1,541,863)	-	-	-	1,541,863	(7,389,745)
Balance as at 30th September 2020	1,860,001,339	30,816,174	119,284,592	82,185,871	4,629,659	(594,352,547)	2,055,820,363

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 SEPTEMBER 2020

	Stated Capital (Rs)	Other Reserves	Revenue Reserves	Total Equity (Rs)
		Revaluation Reserve (Rs)	Accumulated Profit/ (Losses) (Rs)	
Balance as at 1st January 2019	1,860,001,339	31,400,577	(52,570,012)	1,838,831,904
Net Profit/ (Loss) for the period	-	-	(71,753,869)	(71,753,869)
Total Comprehensive Income	-	-	(71,753,869)	(71,753,869)
Balance as at 30th September 2019	1,860,001,339	31,400,577	(124,323,881)	1,767,078,035
Net Profit/ (Loss) for the period	-	-	(309,736,773)	(309,736,773)
Defined Benefit Plan Actuarial Losses	-	-	928,180	928,180
Transfer from the Revaluation Reserve	-	(1,370,919)	1,370,919	-
Total Comprehensive Income	-	(1,370,919)	(307,437,674)	(308,808,593)
Balance as at 31st December 2019	1,860,001,339	30,029,658	(431,761,555)	1,458,269,442
Net Profit/ (Loss) for the period	-	-	39,126,513	39,126,513
Transfer from the Revaluation Reserve	-	(1,541,863)	1,541,863	-
Total Comprehensive Income	-	(1,541,863)	40,668,376	39,126,513
Balance as at 30th September 2020	1,860,001,339	28,487,795	(391,093,180)	1,497,395,955

CASH FLOW STATEMENT

	Group		Company	
	Unaudited 2020 Rs	Unaudited 2019 Rs	Unaudited 2020 Rs	Unaudited 2019 Rs
FOR THE PERIOD ENDED 30 SEPTEMBER				
Cash Flows from Operating Activities				
Contribution (Premium) received from customers	3,153,569,726	3,389,350,521	1,456,769,037	1,570,949,683
Retakaful (Reinsurance) Premium paid	(888,820,359)	(954,932,734)	(336,943,270)	(330,307,731)
Claims, Benefits and Expenses paid	(1,241,235,668)	(1,448,002,644)	(679,521,746)	(897,977,273)
Retakaful (Reinsurance) Receipts in respect of Claims	257,462,397	372,103,688	114,630,676	268,951,561
Cash paid to and behalf of Employees	(495,323,134)	(490,568,931)	(227,188,413)	(284,843,045)
Profits received from Investments and Other Income	376,204,680	281,338,148	59,642,511	32,085,226
Dividends received	13,003,911	19,251,692	9,031,910	16,716,843
Finance Cost paid	(32,418,406)	(28,818,948)	(27,234,650)	(30,077,849)
Other operating cash receipts/ (payments)	(607,355,818)	(898,215,556)	(338,986,877)	(370,535,812)
Cash Flow from/(used in) Operating Activities (Note A)	535,087,330	241,505,235	30,199,177	(25,038,396)
Gratuity Paid	(3,356,077)	(2,758,425)	(3,356,077)	(2,758,425)
Income Tax Paid	(39,938,354)	(30,443,354)	-	-
Net Cash Flow from/(used in) Operating Activities	491,792,899	208,303,456	26,843,101	(27,796,821)
Cash Flows from/(used in) Investing Activities				
Purchase of Investment Securities	(1,618,745,777)	(1,653,345,191)	(379,922,009)	(389,569,329)
Sale of Investment Securities	1,073,775,945	1,637,748,459	410,200,108	492,681,102
Purchase of Intangible Assets	(795,179)	(27,429,949)	(795,179)	-
Advance Payment to Right of use asset	-	-	-	(12,960,556)
Purchase of Property, Plant & Equipment	(3,844,558)	(8,858,745)	(352,979)	(489,613)
Proceeds from Disposal of Property, Plant & Equipment	3,425,000	-	3,425,000	3,050,000
Sale of Investment Property	-	29,500,000	-	29,500,000
Net Cash Flow used in Investing Activities	(546,184,570)	(22,385,425)	32,554,941	122,211,604
Cash Flows from Financing Activities				
Repayment of Lease Facility	(16,408,502)	(12,966,247)	(4,229,764)	(5,730,888)
Short term Loan Obtained	93,000,000	222,000,000	93,000,000	222,000,000
Obtained / (Repayments) of Subordinated Debt	(15,152,137)	92,639,892	(15,152,137)	64,658,000
Repayments of Short Term Borrowings	(275,305,143)	(421,393,030)	(275,305,143)	(421,393,030)
Dividend Paid	(16,421,655)	(30,318,753)	-	-
Net cash flows from financing activities	(230,287,437)	(150,038,138)	(201,687,044)	(140,465,918)
(Increase)/Decrease in Cash and Cash Equivalents (Note B)	(284,679,112)	35,879,891	(142,289,003)	(46,051,135)

NOTE A
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit/ (Loss) from Operations	275,838,833	44,341,110	66,361,162	(86,770,778)
Depreciation	31,579,658	23,729,399	14,228,910	14,550,286
Amortisations	2,766,768	2,658,065	1,138,612	521,113
Provision for Gratuity	9,662,174	4,761,221	2,700,000	2,395,395
Unrealised (Income)/Losses	(34,287,543)	7,157,823	-	-
(Increase)/Decrease in Debtors and Other Assets	(163,581,874)	(178,306,231)	(60,629,184)	161,374,819
Increase/(Decrease) Family Takaful (Long Term Insurance) Fund	108,712,359	(9,186,679)	-	-
Increase/(Decrease) in Unearned Contribution (Premium)	33,707,790	69,483,077	104,968	(119,693,694)
Increase/(Decrease) in Claims Provision	202,770,830	48,432,542	11,539,740	(52,742,812)
Increase/(Decrease) in Other Creditors	100,336,740	257,253,856	21,989,618	85,405,123
Finance Cost Paid	(32,418,406)	(28,818,948)	(27,234,650)	(30,077,849)
Cash Flows from/(used in) Operating Activities	535,087,330	241,505,235	30,199,177	(25,038,396)

NOTE B
Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	492,716,933	718,774,375	234,353,210	333,608,777
Over drafts	-	-	-	-
Cash and Cash Equivalents at the end of the period	492,716,933	718,774,375	234,353,210	333,608,777
Cash and Cash Equivalents at the beginning of the year	777,396,045	682,894,487	376,642,211	379,659,911
Cash and Cash Equivalents transferred to Amana Takaful Life Ltd	-	-	-	-
Decrease in Cash and Cash Equivalents	(284,679,112)	35,879,891	(142,289,003)	(46,051,135)

STATEMENT OF FINANCIAL POSITION
FAMILY TAKAFUL / LIFE INSURANCE SEGMENT - SUPPLEMENTAL

AS AT	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.
ASSETS		
Intangible Assets	18,345,272	19,658,919
Property, Plant and Equipment	16,891,445	20,109,849
Right of use of Asset	12,243,014	16,063,681
Investment Property	147,500,000	147,500,000
Financial Assets	860,219,309	816,349,834
Financial Assets - Unit Linked	1,894,760,455	1,716,210,033
Contribution (Premium) Receivable	30,053,119	36,692,115
Other Assets	49,250,634	43,381,099
Cash and Bank Balances	27,734,339	70,324,846
Cash and Bank Balances - Unit Linked	14,640,755	38,197,730
Total Assets	3,071,638,343	2,924,488,105
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	444,452,386	471,280,391
Insurance Contract Liability - Family Takaful Linked Unit Linked	1,876,992,218	1,747,559,594
Employee Benefits	12,404,677	10,090,893
Finance Lease Liability	8,344,688	12,616,879
Subordinated Debt	81,417,058	81,417,058
Other Liabilities	85,819,481	62,683,754
Other Liabilities - Unit Linked	93,123,833	50,986,682
Total Liability	2,602,554,341	2,436,635,251
SHAREHOLDERS' EQUITY		
Stated Capital	500,000,000	500,000,000
Other Reserves	2,545,326	6,709,623
Retained Earnings	(33,461,324)	(18,856,770)
Total Equity	469,084,002	487,852,853
Total Equity & Liability	3,071,638,343	2,924,488,105

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 30th September 2020 are provisional and unaudited.

2. These Interim Financial Statements of the Company and Group have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The same accounting policies and methods of computation as stated in the Annual Report 2019 have been followed in preparation of these Interim Financial Statements.

Comparative information has been re-valued/re-classified where necessary, to confirm to the current period recognition, measurement and presentation.

3. Right of Use Lease Asset

3.1 Right of Use Lease Asset AS AT	Group		Company	
	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.
Balance as at 1st January	255,334,446	6,900,000	13,818,976	18,078,914
Effect of adoption of SLFRS 16 as at 1st January 2019	-	262,611,741	-	-
Net Depreciation for the period	(18,698,441)	(12,776,233)	(3,199,316)	(4,259,938)
Exchange Gain/loss	4,863,213	(1,401,062)	-	-
Closing Right of use lease asset as at 30th September	241,499,217	255,334,446	10,619,660	13,818,976

3.2 Lease Liability (Lease Creditor)

AS AT	Group		Company	
	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.
Balance as at 1st January	113,097,657	3,849,823	14,053,815	-
Effect of adoption of SLFRS 16 as at 1st January	-	118,285,501	-	16,859,633
Interest Expense recognised in Profit or Loss	6,491,607	5,229,050	1,315,138	2,218,765
Settlement through lease payment	(16,408,502)	(13,746,220)	(4,229,764)	(5,024,583)
Exchange Gain/loss	1,859,076	(520,497)	-	-
Closing lease Creditors at 30th September	105,039,840	113,097,657	11,139,189	14,053,815

4. Financial Assets

AS AT	Group		Company	
	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.
Financial Assets at Fair Value Through Profit or Loss (4.1)	190,501,437	559,286,964	-	-
Available For Sale Financial Assets (4.2)	592,491,979	50,039,119	25,040,493	525,000
Loans & Receivables (4.3)	2,365,226,255	2,222,361,971	732,258,761	838,855,544
	3,148,219,671	2,831,688,054	757,299,254	839,380,544

AS AT	Group		Company	
	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 30.09.2020 Rs.	Audited 31.12.2019 Rs.
4.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	127,183,240	559,286,964	-	-
Investment in Bullion	63,318,197	-	-	-
	190,501,437	559,286,964	-	-
4.2 Available For Sale Financial Assets				
Investments in Equity Securities - Quoted	513,008,552	21,483,888	-	-
Unit Trust	78,958,427	28,030,231	24,515,493	-
Investments in Equity Securities - Unquoted	525,000	525,000	525,000	525,000
	592,491,979	50,039,119	25,040,493	525,000
4.3 Loans and Receivable				
Repurchase Agreements	374,606,481	571,002,297	199,551,324	265,375,922
Fixed Term Deposits	1,979,757,700	1,637,612,055	521,845,368	560,055,696
Advances to Company Officers	10,862,073	13,747,619	10,862,069	13,423,926
	2,365,226,255	2,222,361,971	732,258,761	838,855,544

4.4 Financial investments- Group, includes a provision of Rs. 75,658,959 (2019 - 75,658,959). The said provision will be revised upon recovery

NOTES TO THE FINANCIAL STATEMENTS

5. Financial Assets - Unit Linked

AS AT	Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.
Financial Assets at Fair Value Through Profit or Loss (5.1)	97,111,438	58,391,703	-	-
Available For Sale Financial Assets (5.2)	29,909,645	28,900,391	-	-
Loans & Receivables (5.3)	1,767,739,372	1,628,917,941	-	-
	1,894,760,455	1,716,210,033	-	-

AS AT	Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 30.09.2020 Rs.	Audited as at 31.12.2019 Rs.
5.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	92,077,270	58,391,703	-	-
Investment in Bullion	5,034,168			
	97,111,438	58,391,703	-	-
5.2 Available For Sale Financial Assets				
Unit Trust	29,909,645	28,900,391	-	-
	29,909,645	28,900,391	-	-
5.3 Loans and Receivable				
Repurchase Agreements	30,815,706	30,110,959	-	-
Fixed Term Deposits	1,736,923,666	1,598,806,981	-	-
	1,767,739,372	1,628,917,941	-	-

5.4 Financial investments - Unit Linked, includes a provision of Rs. 6,183,604/- (2019 - 6,183,604).

6. Gross Written Premium (Contribution)

FOR THE PERIOD ENDED 30 SEPTEMBER	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Unaudited 2020 Rs.	Unaudited 2019 Rs.
6.1 Non-Life (General Takaful)				
Motor	827,021,444	839,921,889	771,339,074	787,095,088
Fire	685,753,207	681,399,730	184,869,471	218,600,796
Marine	222,556,246	212,059,214	111,000,631	96,082,670
Medical	728,189,717	805,232,147	143,837,767	132,734,312
Miscellaneous	257,420,143	268,162,557	177,865,472	180,134,362
	2,720,940,757	2,806,775,537	1,388,912,415	1,414,647,228
6.2 Long Term Insurance (Family Takaful)				
Unit Linked	510,761,632	568,004,175	-	-
Family Takaful	37,290,618	45,432,697	-	-
Mortgage & Group Family Takaful	17,294,683	21,532,242	-	-
	565,346,933	634,969,114	-	-
Total Gross Written Premium	3,286,287,692	3,441,744,651	1,388,912,415	1,414,647,228

7. Revenue

7.1 Revenue by Segment

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Unaudited 2020 Rs.	Unaudited 2019 Rs.
Segment				
Amana Takaful PLC	1,072,117,051	1,287,010,444	1,072,117,051	1,246,845,196
Amana Takaful Life PLC	759,547,508	831,440,641	-	-
Amana Takaful (Maldives) PLC	860,925,369	890,655,881	-	-
Amana Global Ltd	4,050,000	4,050,000	-	-
Eliminations	(19,035,135)	(24,896,262)	-	-
	2,677,604,793	2,988,260,705	1,072,117,051	1,246,845,196

7.2 Revenue

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Unaudited 2020 Rs.	Unaudited 2019 Rs.
Gross written Contribution (Premium)	3,286,287,692	3,441,744,651	1,388,912,415	1,414,647,228
Less :				
Reinsurance premium	(992,500,220)	(914,767,486)	(376,332,907)	(373,747,057)
Net written premium	2,293,787,472	2,526,977,166	1,012,579,508	1,040,900,171
(Increase)/decrease in net unearned premium	(33,707,790)	69,483,077	(104,968)	119,693,694
Net earned premium	2,260,079,682	2,596,460,242	1,012,474,540	1,160,593,866
Income from investments	322,827,920	281,338,148	52,711,258	74,756,518
Other income	94,697,191	110,462,315	6,931,253	11,494,812
Total Revenue	2,677,604,793	2,988,260,705	1,072,117,051	1,246,845,196

NOTES TO THE FINANCIAL STATEMENTS

8. The Company Carries a Valuation for insurance contract liabilities Life(FamilyTakaful) only at the yearend.

9. The Company has not done a Liability Adequacy Test (LAT) in respect of Insurance Contract Liabilities - Non-Life Fund as per SLFRS 4 - Insurance Contracts as at 30th September 2020. LAT will be performed annually

10. Profit/ (Loss) Before Taxation by Segment

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2020	Unaudited 2019	Unaudited 2020	Unaudited 2019
Segment				
Amana Takaful PLC	39,126,513	(116,848,627)	39,126,513	(116,848,627)
Amana Takaful Life PLC	(21,190,808)	(17,807,989)	-	-
Amana Takaful Maldives PLC	235,181,098	167,548,700	-	-
Amana Global Ltd	(664,464)	(653,079)	-	-
Eliminations	(9,031,910)	(16,716,843)	-	-
Total	243,420,428	15,522,162	39,126,513	(116,848,627)

11. Cash and Cash Equivalents in Statement of Cash Flow

AS AT	Group		Company	
	Unaudited 30.09.2020	Unaudited 30.09.2019	Unaudited 30.09.2020	Unaudited 30.09.2019
Cash and Bank Balances	103,469,698	224,339,440	34,801,887	59,346,826
Cash and Bank Balances - Unit Linked	14,640,755	14,476,535	-	-
Investment in Government Securities	374,606,481	479,958,400	199,551,324	274,261,951
	492,716,933	718,774,375	234,353,210	333,608,777

12. 12.1 Amana Takaful PLC is liable to income tax at 24% (2019 - 28%)

12.2 Amana Global Ltd is liable to income tax at 24% (2019 -15%)

12.3 Amana Takaful Maldives PLC is liable to income tax at 15% (2019 - 15%)

12.4 Amana Takaful Life PLC is liable for income tax at 24% (2019 - 28%)

13. Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs.1,411,781,913/- in 2019 (2018 - Rs.752,153,195/-), The recognized taxable loss during the financial year 2019 is amounting to Rs.315,493,015 will be carried forward for another six years and the remaining accumulated tax loss as at 31 December 2018, is amounting to Rs. 1,096,288,898 will be carried forward for five years.

14. The nature of related party transactions in the current period is similar to those reported in the Annual Report 2019.

15. There has not been a significant change in the assets pledged as disclosed in the Annual Report 2019.

16. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

17. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report 2019.

18. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

19. In terms of Direction for Identification and Treatment of One-Off Surplus issued by the Insurance Regulatory Commission of Sri Lanka (Direction # 16 – 20.03.2018), the Long-Term Insurance Business of the Company has generated a One-Off Surplus of Rs.28,963,821 as at 1st January 2016. The One-Off Surplus amount remaining after relevant additions and deductions is retained in the Policyholders Liability in the Long Term Insurance Fund

20. Stated Capital as at 30th September 2020 is represented by shares in issue as given below:

	Unaudited 30.09.2020	Audited 31.12.2019
Number of shares as at		
Ordinary shares - Voting	180,000,130	180,000,130

21. Share Information

	Group		Company	
	30.09.2020 Rs.	31.12.2019 Rs.	30.09.2020 Rs.	31.12.2019 Rs.
Net asset value per share	8.35	7.58	8.32	8.10
Market price per share as at	9.90	5.30	-	-
Highest price per share for the period	10.50	6.50	-	-
Lowest price per share for the period	5.40	5.10	-	-

NOTES TO THE FINANCIAL STATEMENTS

Twenty Largest Shareholders as at 30th September 2020

Name of Shareholder	No. of Shares	%
Mr. Osman Kassim/Mrs. K. Kassim	33,306,824	18.50
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	16.93
Amana Bank PLC	27,009,180	15.01
Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	17,391,225	9.66
Amana Bank PLC/Mr. Sattar Kassim	16,467,539	9.15
Mr. Sattar Kassim	14,394,213	8.00
Alpha Investment Holdings Limited	13,959,893	7.76
Sampath Bank PLC/Dr.T.Senthilverl	4,864,313	2.70
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Dr. Thirugnanasambandar Senthilverl	2,689,941	1.49
Mr.Mohamed Haji Omar	551,513	0.31
Mrs. Pattini Deva Asoka Swarnakanthi Beruwalage	422,684	0.23
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Mr.Joseph Rohan Victoria	335,209	0.19
Mr. Farook Kassim	325,000	0.18
Mr. Sithambaram Pillai Jayakumar/Mrs.P.Meena	300,000	0.17
Mr. Ravindra Earl Rambukwella	299,220	0.17
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysantha Goonetilleke	256,031	0.14
Mr. Senthilverl Senthimaaran	236,505	0.13
	166,823,467	92.68
Others	13,176,663	7.32
Total	180,000,130	100.00

Public Shareholding	30.09.2020	31.12.2019
Float Adjusted Market Capitalisation (Rs.)*	705,702,987	378,357,370
Percentage of Shares held by the Public	39.60%	39.66%
Number of Public Shareholders	5,637	5,741

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules. * Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

Directors' Shareholdings	No. of Shares 30.09.2020	No. of Shares 31.12.2019
Mr. Osman Kassim	33,306,824	33,300,024
Dr. A.A.M. Haroon	4	4
Mr. M.R.M. Nayeem	Nil	Nil
Mr. M.H.S. Kassim	22,040	Nil
Mr. Syed Rizwan Hussain	Nil	Nil
Mr. M. Zulficar Ghouse	Nil	Nil

CEO's Shareholding		
Mr. Ahmed Shehan Feisal - CEO (Appointed w.e.f. 20.07.2020)	Nil	Nil

CORPORATE INFORMATION

NAME OF THE COMPANY

Amana Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act, No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER(TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka in November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.

DIRECTORS

Mr. Osman Kassim - Chairman
Mr. M.H.S.Kassim - Managing Director
Dr. A.A.M. Haroon
Mr. M.R.M. Nayeem
Mr. Syed Rizwan Hussain
Mr. M. Zulficar Ghouse
(Retired w.e.f. 14.07.2020) Dato' Mohd Fadzli Yusof
(Retired w.e.f. 14.07.2020) Mr. M.H.M. Rafiq

SHARIAH ADVISORY COUNCIL

Mufti M.I.M. Rizwe - Chairman
Mufti Shafique Ahmed Jakhura - Member
Ash-Sheikh Murshid Mulaffar- Secretary

CHIEF EXECUTIVE OFFICER - ATPLC

(Appointed w.e.f. 20.07.2020) Mr. Ahmed Shehan Feisal - CEO

CHIEF EXECUTIVE OFFICER - ATLPLC

Mr. Gehan Shivantha Rajapakse

REGISTERED OFFICE

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARY

Amana Takaful Life PLC
No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
Amana Takaful (Maldives) PLC
H. Mialani, Sosun Mogu, Male, Republic of Maldives
Amana Global Limited
No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

AUDITORS

Ernst & Young Chartered Accountants

CONSULTANT ACTUARIES - LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia

CONSULTANT ACTUARIES – GENERAL INSURANCE

NMG Financial Services Consulting Pte Limited
65 Chulia Street
#37-07/08, OCBC Centre
Singapore 049513

REINSURANCE PANEL

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Asian Re
GIC Retakaful
Ocean Re
Saudi Re
Tunis Re
Hannover Re
Munich Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd

PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/National Development Bank/
Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton National Bank
/Nations Trust Bank/Deutsche Bank/ Seylan Bank/MCB Bank